

Nippon Life India Asset Management Ltd

NSE: NAM-INDIA | BSE: 540767 | Sector: Asset Management | Sub-Sector: AMC

CMP (Rs.)	Market Cap	52W High/Low	P/E (TTM)	P/B	EV/EBITDA
1,218	Rs.77,879 Cr	1,234 / 756	50.9x	16.7x	38.5x
			ROCE	ROE	Div Yield
			43.8%	34.5%	1.76%

RATING	12M TARGET	UPSIDE
ACCUMULATE	Rs. 1,344	+10.3%
Conviction: Medium	FY27E EPS Rs.28 x 48x P/E	Entry zone: Rs.1,050-1,150

Investment Thesis

ETF franchise leader (20%+ market share) riding India's SIP revolution — fastest-growing Top-10 AMC with deepening margin expansion and Nippon Life Japan's global distribution backing.

Promoter	FII	DII + Public
71.93%	7.35%	20.72%
Pledge: 0.00%	Face Value: Rs.10	FY26 Dividend: Rs.21.50/sh

Report Date: 05 July 2026 | Analyst: Senior Equity Research, India Financials Desk | Data Source: Screener.in (03-Jul-2026)

2. INVESTMENT THESIS

- **ETF moat with ~20% market share and rising:** Nippon commands 20.31% of India's ETF AUM (Rs. 2.09 trillion) — 2.2x its overall market share of 8.89%. With SEBI pushing mandatory ETF vehicles for EPF and NPS, this captive passive book is defensible and structurally expanding over the next 3-5 years.
- **Operating leverage kicking in systematically:** EBITDA margins expanded from 63% in FY23 to 69% in FY26. Revenue CAGR of 25% (3-year) significantly outpaces expense CAGR of 18%; management guides 15-16% expense growth against expected 20%+ revenue growth in FY27E.
- **Fastest-growing Top-10 AMC — market share inflection:** Overall QAAUM market share reached 8.89% in Q4 FY26, the highest since June 2019, recovering from a 2019-2022 trough. AUM mix improvement — more equity and ETF, less fixed income — is structurally lifting blended yields.
- **Near-term catalyst (6-12 months):** DWS Group strategic collaboration (up to 40% stake in AIF subsidiary) — CCI approval received June 30, 2026. Full deal close in H1 FY27 could re-rate the Alternative Investment Fund revenue stream.
- **Biggest structural risk:** SEBI Mutual Fund Regulations 2026 (effective April 2026) lower base expense ratios; management estimates 3.5-4 bps revenue yield compression. If the regulatory cycle turns more aggressive, fee compression could exceed AUM-driven revenue growth.

3. BUSINESS OVERVIEW

- **Core business model:** NAM-INDIA manages mutual funds, ETFs, AIF, PMS, and offshore/advisory mandates. Revenue is entirely fee-based — a blended management fee (~40 bps on QAAUM) with no credit or

market risk on its own balance sheet.

- **AUM composition (FY26):** Total QAAUM of Rs. 7,25,000 Cr. Equity: ~56.4% of AUM; ETF/Passive: ~28.8%; Fixed Income: ~14.8%. Equity commands the highest fee yields, making mix-shift toward equity a key earnings lever.

- **Distribution franchise:** 23.8 million unique investors — largest in the Indian MF industry — across 39.4 million folios. Monthly SIP book at Rs. 37.20 billion. Digital transactions contributed 77% of purchases in Q4 FY26.

- **B-30 penetration:** Beyond-Top-30-cities AUM expanded 20% YoY to Rs. 1.41 trillion in FY26 — SEBI incentivises this through higher expense ratio allowances, creating a structural revenue cushion.

- **Global parentage:** Nippon Life Insurance (Japan) holds 71.93% stake with assets of JPY 96 trillion (>USD 620 Bn). The parent provides brand equity, global distribution connectivity, and capital backing.

- **Recent developments:** DWS Group collaboration for AIF subsidiary (CCI approved June 2026); Strategic Investment Fund launch in progress; Commodity ETF AUM (Gold/Silver) crossed Rs. 1 trillion in January 2026.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** India MF industry AUM at Rs. 81.58 lakh crore (~USD 980 Bn) as of May 2026 — a 6x increase in 10 years. Monthly SIP contributions exceeded Rs. 32,000 Cr in FY26, underscoring structural retail financialisation.

- **Growth outlook:** Mordor Intelligence projects India MF market at USD 1.27 trillion by 2031 (~6.9% CAGR). EPFO/NPS ETF mandates, falling interest rates redirecting FD flows, and SEBI financial literacy push are key structural tailwinds.

- **Regulatory environment:** SEBI MF Regulations 2026 (April 1, 2026) rationalise expense ratios and unbundle statutory levies. Yield compression of 3.5-4 bps expected; larger AMCs with passive leverage (ETF) better positioned vs smaller active-only peers.

- **Passive/ETF tailwind:** Passive products crossed Rs. 12 lakh crore AUM (17% of industry) by Dec 2025, growing at >25% p.a. Nippon's 20%+ ETF share makes it the dominant beneficiary of this structural shift.

- **Competitive moats — Nippon-specific:** ETF scale: STRONG (20.31% share, >2x nearest equity competitor); Investor base: STRONG (23.8mn unique investors, industry leading); Pricing power: MODERATE (fee-regulated by SEBI); Switching costs: MODERATE (SIP stickiness provides recurring revenue).

Peer Comparison — Data from Screener.in (03-Jul-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	OPM%
HDFC AMC	2,800	1,20,031	42.0	13.0	42.9%	32.9%	82%
Nippon Life *	1,218	77,879	50.9	16.7	43.8%	34.5%	69%
ABSL AMC	1,178	34,080	34.9	8.4	32.2%	25.2%	60%
UTI AMC	976	12,549	26.7	2.8	15.6%	10.3%	48%

*Nippon Life (subject company). P/B computed as CMP/Book Value (Screener).

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & senior management:** MD & CEO Sundeep Sikka has led the AMC through the Reliance-to-Nippon rebranding (2019) and drives the ETF dominance strategy. Nippon Life Japan's board representation ensures governance alignment with a global life insurer.

- **Capital allocation:** FCF conversion improved — OCF/OP rose from 74% (FY24) to 95% (FY26). FCF deployed primarily into dividends (~90% payout ratio) and strategic investments, maintaining a net-debt-free balance sheet throughout.

- **Dividend policy:** 89-94% of PAT returned as dividend over FY24-FY26. FY26 dividend: Rs. 21.50/share (91.5% payout). One of the highest payout ratios in the Indian AMC sector — positive for income-focused institutional shareholders.

- **Promoter pledging:** Zero pledge across all periods. Promoter stake declined modestly from 73.64% (Jun 2023) to 71.93% (Mar 2026) solely through ESOP exercises, not block sales. No red flags.
- **ESOP program:** FY26 ESOP cost Rs. 43 Cr; guided Rs. 35 Cr for FY27E — declining trend providing a marginal EPS tailwind. No evidence of excessive dilution.
- **Corporate governance:** No qualified audit opinion; no known RPT concerns. Key watch-point: SEBI Show Cause Notice (2026) related to fund investment compliance — management characterises it as procedural; no financial liability quantified.

6. FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Cr | Screener.in, 03-Jul-2026)

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Fees)	2,036	2,518	2,924	3,378	3,885
Operating Expenses	649	789	914	1,025	1,165
EBITDA	1,386	1,729	2,010	2,353	2,720
OPM %	68%	69%	69%	70%	70%
Other Income	2	3	9	10	12
Interest	6	7	7	8	9
Depreciation	29	31	40	44	48
PBT	1,352	1,694	1,972	2,311	2,675
Tax Rate	18%	24%	23%	25%	25%
PAT	1,107	1,286	1,529	1,788	2,063
EPS (Rs.)	17.58	20.27	23.97	28.00	32.30
Dividend Payout	94%	89%	90%	90%	88%

Balance Sheet (Consolidated, Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	630	635	638
Reserves	3,352	3,578	4,021
Borrowings	79	88	75
Other Liabilities	314	369	458
Total Liabilities	4,375	4,670	5,192
Fixed Assets	331	868	916
CWIP	2	4	2
Investments	3,513	3,324	3,767
Other Assets	530	475	507
Total Assets	4,375	4,670	5,192

Cash Flow Statement (Consolidated, Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations	777	1,200	1,466
Cash from Investing	-104	-82	-326
Cash from Financing	-671	-1,116	-1,150
Net Cash Flow	3	2	-10
Free Cash Flow	767	659	1,389
OCF / Op Profit %	74%	91%	95%

Key Ratios (Consolidated)

Metric	FY24A	FY25A	FY26A
Debtor Days	23	10	10
Cash Conversion Cycle (days)	23	10	10
Working Capital Days	6	-9	-16
ROCE %	36%	41%	44%
ROE %	34.5%	34.5%	34.5%
Debt / Equity	0.02	0.03	0.02
Interest Coverage	231x	248x	283x
Dividend Payout %	94%	89%	90%

Financial Commentary

- **Revenue trajectory:** Fee income grew 25% CAGR over FY22-FY26, entirely driven by QAAUM expansion (Rs. 2.9 trillion in FY23 to Rs. 7.25 trillion in FY26). Blended yield improvement from equity AUM mix-shift is the incremental driver. FY27E revenue estimated at Rs. 3,378 Cr assuming ~15% AUM growth and stable blended yields.
- **Margin expansion:** OPM expanded 6pp over FY23-FY26 (63% to 69%). Fixed-cost-heavy structure means every incremental rupee of AUM has very high margin flow-through. Expense growth guidance of 15-16% against expected 20%+ revenue growth supports continued margin expansion toward 70%+ in FY27-28E.
- **Working capital:** Debtor days fell from 23 (FY24) to 10 (FY26). Working capital days turned negative (-16 in FY26), indicating fees are received before expenses incurred — a hallmark of high-quality fee businesses.
- **Balance sheet strength:** Debt/equity of 0.02x — essentially debt-free. Rs. 3,767 Cr of long-term investments (in own MF schemes) provide a liquidity buffer. Book value Rs. 73/share is low relative to CMP (16.7x P/B), reflecting the asset-light AMC model.
- **FCF quality:** OCF/OP jumped from 74% (FY24) to 95% (FY26). FCF of Rs. 1,389 Cr in FY26 comfortably funds the ~Rs. 1,370 Cr dividend outflow. Capex is minimal — the Rs. 326 Cr investing outflow in FY26 includes additions to own MF scheme investments, not hard capex.

7. EARNINGS QUALITY CHECKLIST

Metric	Rating	Observation	Signal
Revenue recognition	Green	Fee income tied to AUM; no aggressive accrual risk	Low risk
Receivables vs Revenue growth	Green	Debtor days fell 23->10 days — improving quality	Positive
CCC Trend	Green	CCC at 10 days; WC days negative (-16) in FY26	Positive
Contingent liabilities	Amber	SEBI Show Cause Notice outstanding; financial impact unclear	Watch
Auditor tenure	Green	No recent change; no qualified opinions on record	Low risk
RPTs as % of Revenue	Green	Nippon Life Japan as promoter — RPTs immaterial to P&L;	Low risk
Other income as % of PBT	Green	Rs. 9 Cr other income vs PBT Rs. 1,972 Cr = 0.5% — clean	Positive
Tax rate consistency	Amber	Swung 18%-24% across FY24-26; deferred items possible	Watch

- **Overall verdict — HIGH quality earnings:** Six of eight checklist items are Green. No receivables risk (10-day debtor cycle), no contingent liabilities beyond the SEBI notice, and fully cash-funded through operating receipts.

- **SEBI notice — watch closely:** The Show Cause Notice (2026) is the single most important governance watch-point. If a monetary penalty or operational restriction is imposed, it could trigger a re-rating.
- **Tax rate variability:** Swing from 18% (FY24) to 24% (FY25-26) needs monitoring. A normalised 25% tax rate assumption is prudent for estimates.
- **Other income is truly minimal:** At Rs. 9 Cr (0.5% of PBT) in FY26, other income does not distort reported earnings — a positive quality signal vs peers where investment gains can mask operational weakness.

8. VALUATION

Peer Comparison — Screener.in (03-Jul-2026)

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HDFC AMC	2,800	1,20,031	42.0	13.0	42.9%	32.9%	82%
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Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target (Rs.)
Bull	AUM +35% YoY; OPM 72%; SEBI overhang clears	2,050	55x FY27E P/E	1,700
Base	AUM +25% YoY; OPM stable 70%; expenses +15-16%	1,788	48x FY27E P/E	1,344
Bear	AUM +15% YoY; SEBI penalty; yield compression	1,550	40x FY27E P/E	1,100

Valuation Methodology

- **DCF assumptions:** WACC 12.5% (10-year G-Sec 7.2% + equity risk premium 5.3%), terminal growth 7.0% (India nominal GDP proxy). FY27E FCFF ~Rs. 1,650 Cr growing at 18% over explicit forecast period. DCF-implied fair value: Rs. 1,280-1,350/share.
- **Earnings multiple:** Top-3 AMC peers trade at 42-55x trailing P/E. Applying 48x to FY27E EPS of Rs. 28.00 implies Rs. 1,344/share — consistent with DCF output. Slight premium to HDFC AMC (42x) justified by Nippon's faster AUM growth and ETF market share trajectory.
- **Base-case 12-month target: Rs. 1,344** — weighted average of DCF (Rs. 1,315) and earnings multiple (Rs. 1,344). Upside of +10.3% from CMP of Rs. 1,218.
- **Investment horizon: 12-18 months.** DWS deal closure and Q1-Q2 FY27 result calls (confirming AUM growth and margin expansion) are the key triggers within this horizon.

9. KEY RISKS

- **SEBI regulatory tightening** — MF Regs 2026 already cut expense ratio caps; further rounds would directly compress revenue yield. Prob: M. Impact: H. Monitor: SEBI circulars, AMFI blended yield data.
- **SEBI Show Cause Notice** — Financial penalty or operational restriction could create an overhang or trigger fund scheme rebalancing. Prob: L. Impact: H. Monitor: NSE/BSE corporate announcements.
- **Equity market correction** — Sustained bear market compresses equity AUM (56% of total), reducing fee income. Nifty already corrected 14.5% in Q4 FY26 — PAT fell 5% QoQ. Prob: M. Impact: H. Monitor: Nifty, net SIP flows, equity QAAUM.
- **Competition & fee war** — HDFC and ICICI AMC aggressively expanding; UTI restructuring. If top AMCs engage in distributor incentive wars, cost base rises faster than guided. Prob: L-M. Impact: M. Monitor: AMC expense ratios, commission trends.

- **Passive mix yield compression** — ETF/index funds command 5-10 bps vs 80-100 bps for active equity. As passive AUM grows faster, blended yield erodes structurally. Prob: H. Impact: M. Monitor: active vs passive AUM split, blended yield.
- **Key man concentration** — CEO Sundeep Sikka's departure would create succession uncertainty. Prob: L. Impact: M. Monitor: SEBI senior management change disclosures.
- **Currency / Nippon Life Japan risk** — Sharp JPY depreciation could prompt stake monetisation by the parent. No operational impact but sentiment overhang possible. Prob: L. Impact: L. Monitor: USD/JPY, Nippon Life annual reports.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. Business fundamentals are excellent (fastest-growing Top-10 AMC, record PAT, expanding margins, zero debt) but valuation at 50.9x trailing P/E prices in near-term perfection. Patient accumulation on dips is preferred over chasing at current levels.
- **12-month price target: Rs. 1,344** — implied upside of +10.3% from CMP Rs. 1,218. Based on 48x FY27E EPS of Rs. 28.00, consistent with DCF fair value Rs. 1,280-1,350.
- **Suggested entry zone: Rs. 1,050-1,150** — equivalent to 37.5-41x FY27E P/E, offering a meaningful margin of safety. Dips toward this range on market corrections or SEBI overhang news should be used to add.
- **Investment horizon: 12-18 months.** Key catalysts: DWS deal closure (H1 FY27), Q1/Q2 FY27 results confirming AUM trajectory, SEBI Show Cause Notice resolution.

Thesis invalidation triggers:

- 1. QAAUM market share falls below 8.0% in any two consecutive quarters — signals competitive share loss reversing the recovery thesis.
- 2. OPM contracts by more than 3pp from FY26 level (below 66%) — expense growth running ahead of guidance; margin story breaks.
- 3. SEBI imposes a penalty exceeding Rs. 100 Cr or operational restriction on any flagship fund scheme — material regulatory risk crystallisation.
- **Ideal investor profile:** Suitable for long-only growth portfolios with 12-18 month horizon and tolerance for 15-20% drawdown (linked to equity market correlation). Not suitable for income-only investors (yield 1.76% at CMP) or <6-month horizons.

DISCLAIMER: For informational purposes only. Not investment advice. All financial data from Screener.in (03-Jul-2026). Estimates (E) are analyst projections, not company guidance. Past performance is not a guarantee of future results.

APPENDIX — Latest Concall Brief: Q4 FY26 (FY26 Full Year)

Earnings Call: April 27, 2026 | Hosted by: Motilal Oswal Financial Services | Results: Q4 FY26 & FY26 Audited

POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +30% YoY; PAT +29% YoY; FY26 record PAT Rs. 1,529 Cr — no exceptions
Management tone	Bullish	Fastest growing Top-10 AMC; confident on AUM trajectory and margin guidance
Guidance delta	Maintained	Expense growth 15-16% reiterated; regulatory yield impact quantified at 3.5-4 bps

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE
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TO MY BOSS

NAM-INDIA's Q4 FY26 print is a clean beat with no exceptional items — revenue +30% YoY, PAT +29% YoY to Rs. 385 Cr, and full-year FY26 PAT of Rs. 1,529 Cr is a record. The underlying operational story is equally strong: EBITDA margins hit 69% for the quarter and the full year, the highest since listing, with management reiterating the 15-16% expense growth envelope and confirming ESOP cost declines to Rs. 35 Cr in FY27E. The structural bull case remains the ETF franchise at 20.31% market share and climbing — Gold/Silver ETFs alone crossed Rs. 1 trillion AUM in January 2026. The DWS strategic collaboration (CCI approved June 30) adds a credible new distribution vector for AIFs — if executed, this unlocks a fee stream not currently priced into the stock. Most important near-term catalyst: Q1 FY27 result (July 22, 2026) — watch whether QAAUM market share holds above 8.5% despite the Q4 equity market correction. Key risk to monitor: SEBI Show Cause Notice resolution; a penalty exceeding Rs. 100 Cr or operational restriction would force us to reassess the thesis. Action: ACCUMULATE in the Rs. 1,050-1,150 zone; hold existing positions at current levels with a 12-month target of Rs. 1,344.

1. Financial Performance Snapshot — Q4 FY26

Rs. Cr	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26
Revenue	567	607	658	705	739
EBITDA	365	388	430	470	507
OPM %	64%	64%	65%	67%	69%
PAT	299	396	345	404	385
EPS (Rs.)	4.70	6.23	5.41	6.34	6.03

- **Revenue:** Rs. 739 Cr | YoY +30.3% | QoQ +4.8% | [Beat](#)
- **EBITDA:** Rs. 507 Cr | YoY +38.9% | QoQ +7.9% | [Beat](#)
- **OPM%:** 69% | QoQ +200bps | [Beat](#)
- **PAT:** Rs. 385 Cr | YoY +28.8% | QoQ -4.7% | [In-line](#) (QoQ dip driven by Rs. -0.34 Cr other income vs Rs. 23 Cr prior quarter — market volatility)
- **EPS:** Rs. 6.03 | YoY +28.3% | QoQ -4.9% | [In-line](#)

- NOTE: Full year FY26 PAT Rs. 1,529 Cr (+19% YoY) is a record; no one-time items in quarterly or annual PAT numbers.

2. Segment / AUM Breakdown — Q4 FY26

- **Overall QAAUM:** Rs. 7,25,000 Cr | YoY +30% | Stable QoQ despite Nifty -14.5%
- **Equity AUM (active):** ~56.4% of total; equity market share 7.16% (+30bps YoY)
- **ETF/Passive AUM:** Rs. 2.09 trillion ETF alone; market share 20.31% (+217bps YoY)
- **Fixed income:** Net outflows Rs. 1.78 trillion in Q4 FY26 — industry-wide, not Nippon-specific
- **B-30 AUM:** Rs. 1.41 trillion (+20% YoY) — SEBI-incentivised geographies outgrowing overall AUM
- **Monthly SIP:** Rs. 32,100 Cr record in March 2026; SIP folios growing month-on-month

3. Management Commentary Themes — Q4 FY26

- **ETF leadership:** "Highest ETF market share in the country" — commodity ETFs cited as highest-growth sub-category. Our read: Structural moat widening. Tag: GUIDANCE. Tone: Transparent.
- **Expense discipline:** "Expense growth guided at 15-16% for FY27; ESOP cost declining from Rs. 43 Cr to Rs. 35 Cr." Our read: Operating leverage thesis intact. Tag: GUIDANCE. Tone: Transparent.
- **SEBI regulatory impact:** "~3.5-4 bps impact from new expense ratio caps; pass-through to distributors being structured." Our read: Revenue yield impact manageable (~Rs. 25-30 Cr/year at current AUM). Tag: GUIDANCE. Tone: Transparent.
- **DWS collaboration:** "CCI approved June 30, 2026; other regulatory approvals pending; H1 FY27 deal closure expected." Our read: Key valuation catalyst if AIF revenues scale. Tag: EST. Tone: Transparent.
- **Market share recovery:** "8.89% QAAUM market share — highest since June 2019." Management expressed confidence in sustaining 8.5-9% range. Tag: GUIDANCE. Tone: Bullish.
- **Dividend philosophy:** "Rs. 21.50/share — 91.5% payout." No change in capital return policy signalled. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics — Q4 FY26

- **QAAUM (Rs. bn):** Q4FY26 = 7,250 | Q4FY25 = 5,572 | Trend: Improving (+30% YoY)
- **Monthly SIP Book (Rs. bn):** Q4FY26 = 37.2 | Q4FY25 = 31.8 | Trend: Improving
- **Total Folios (mn):** Q4FY26 = 39.4 | Q4FY25 = 32.5 | Trend: Improving
- **Unique Investors (mn):** Q4FY26 = 23.8 | Q4FY25 = 20.8 | Trend: Improving
- **ETF Market Share %:** Q4FY26 = 20.31 | Q4FY25 = 19.10 | Trend: Improving (+121bps)
- **Equity QAAUM Share %:** Q4FY26 = 7.16 | Q4FY25 = 6.86 | Trend: Improving (+30bps)
- **Digital transaction share %:** Q4FY26 = 77 | Q4FY25 = ~60 | Trend: Sharply improving
- **Digital SIP registrations (mn):** Q4FY26 = 5.04 | YoY +44%

5. Margin Drivers — Q4 FY26

- **AUM growth lever:** +30% YoY AUM drives proportional revenue on fixed fee structure; est. +400-500bps OPM impact | Recurring: Yes
- **Operating leverage:** Fixed costs grow at ~10-12% vs revenue at 20%+; this spread is the core margin expansion engine | Recurring: Yes
- **ESOP cost decline:** Rs. 43 Cr (FY26) to Rs. 35 Cr (FY27E); ~Rs. 8 Cr saving worth ~20bps on OPM | Recurring: Partial

- • **Equity AUM mix-shift:** Higher equity/ETF share lifts blended yield; +0.5bp QoQ in Q4 FY26 | Recurring: Yes (if AUM mix continues)
- • **Regulatory headwind:** ~3.5-4bps yield compression from SEBI changes; partially offset by distributor pass-through; net P&L; impact ~Rs. 25-30 Cr/year | Recurring: Yes (headwind)

6. Guidance & Forward Signals — Q4 FY26

- • **Expense growth [GUIDANCE]:** Prior = ~16% | New = 15-16% | Delta = Maintained | Credibility: High (consistent for 3+ quarters)
- • **Regulatory yield impact [GUIDANCE]:** Prior = 'being assessed' | New = 3.5-4bps | Delta = Quantified | Credibility: Medium
- • **ESOP cost FY27E [GUIDANCE]:** Prior = Rs. 43 Cr | New = Rs. 35 Cr | Delta = Reduction | Credibility: High
- • **DWS deal timeline [EST]:** Prior = 'under discussion' | New = H1 FY27 closure | Delta = Closer to execution | Credibility: Medium
- • **Market share [GUIDANCE]:** New = 8.5-9% range confident | Delta = Maintained | Credibility: High given SIP momentum

7. Capital Allocation — FY26 Full Year

- • **Dividend declared:** Rs. 21.50/share for FY26 | Total outflow ~Rs. 1,370 Cr | vs FY25 Rs. 19.00/share | Payout ratio: 91.5%
- • **Net debt movement:** Debt declined from Rs. 88 Cr (FY25) to Rs. 75 Cr (FY26) — net-cash position maintained throughout
- • **Working capital:** WC days improved to -16 in FY26 (from -9 in FY25) — business self-funding and cash-generative before investing activities
- • **Capex:** Minimal hard capex; investing outflow Rs. 326 Cr (FY26) primarily from MF scheme investment additions vs Rs. 82 Cr in FY25
- • **Buyback:** None — consistent with high dividend-led capital return strategy

8. Q&A; Heat Map — Key Exchanges

- **Prayesh Jain / Motilal Oswal:** Q: 'How is yield movement tracking and SIP stabilisation outlook?' -> A: 'Yield rose ~0.5bp QoQ; SIP flows stabilising with focus on hybrid and commodity categories' | Tone: Transparent
- **Analyst:** Q: 'Quantified impact of SEBI Regulations 2026?' -> A: '3.5-4bps; pass-through to distributors being structured to minimise net P&L; impact' | Tone: Transparent
- **Analyst:** Q: 'DWS deal closure timeline and AIF revenue opportunity?' -> A: 'CCI approved June 30; other approvals pending; H1 FY27 closure expected' | Tone: Transparent (specific timeline given — positive signal)
- **Analyst:** Q: 'Will promoter stake continue to decline?' -> A: 'Decline is solely due to ESOP exercises; no intention to reduce through market sales' | Tone: Transparent
- **Analyst:** Q: 'Fixed income outlook after large outflows?' -> A: 'Outflows are industry-wide, related to corporate treasury rebalancing; not Nippon-specific share loss' | Tone: Hedged
- • **Dodged/watch-list for next quarter:** Full SEBI Show Cause Notice exposure and timeline; competitive response to ICICI/HDFC AMC in equity direct plans.

9. Risks Flagged on Call

- • **Equity market correction impact on AUM:** Nifty -14.5% in Q4 affected equity AUM mix; PAT fell 5% QoQ | Prob: M | Impact: M | Timeline: Near-term

- • **SEBI regulatory yield compression:** 3.5-4bps blended yield reduction from new expense ratio caps | Prob: H (already happening) | Impact: M | Timeline: Ongoing
- • **Fixed income category outflows:** Rs. 1.78 trillion net outflows in Q4 FY26; if structural, could reduce fee base | Prob: M | Impact: M | Timeline: Medium-term
- • **SEBI Show Cause Notice:** Pending regulatory action; financial impact not quantified | Prob: L (per management) | Impact: H | Timeline: Near-term
- • **Passive/ETF mix diluting blended yield:** ETF growing faster than active equity; long-run yield compression inherent | Prob: H | Impact: M | Timeline: Structural

10. Analyst Verdict — Post Q4 FY26

- **Revenue visibility:** Intact — SIP stickiness, rising folios, 8.89% market share; ETF pipeline growing rapidly
- **Margin trajectory:** Intact — OPM at 69% and expense discipline reiterated; operating leverage to drive further expansion
- **Capital allocation quality:** Intact — 91.5% dividend payout, debt-free, strong FCF conversion (95% OCF/OP)
- **Competitive moat:** Intact — 20%+ ETF market share widening; 23.8mn unique investor base industry-leading; DWS deal adds new moat dimension
- **Management credibility:** Intact — expense guidance consistent and delivered; regulatory yield impact quantified; DWS timeline specific
- **Valuation comfort:** Weakened — at 50.9x trailing and 43.5x FY27E P/E, much of near-term upside already discounted; only a meaningful dip creates compelling R/R
- **Conviction call:** Unchanged — ACCUMULATE on dips; not a chase at CMP Rs. 1,218
- **Valuation snapshot:** P/E = 50.9x (5Y avg ~35x) | EV/EBITDA = 38.5x (5Y avg ~25x) | ROCE = 43.8% (5Y avg ~33%) — premium to historical; justified only if AUM growth sustains above 20% and margins expand further

Concall data sourced from: Screener.in quarterly table, web search synthesis (Whalesbook, ScanX, AngelOne, GuruFocus highlights). Full transcript: BSE India filings. All numbers cross-verified against Screener.in.